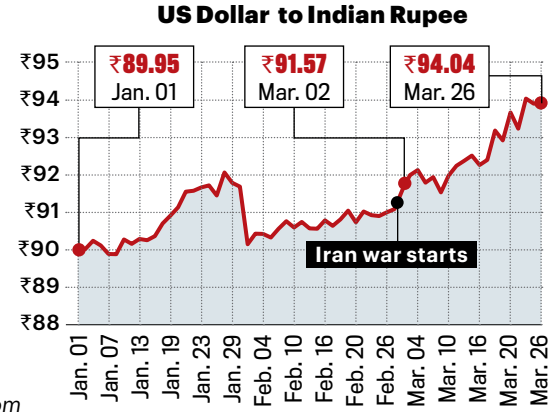


## FREE FALL

The Re has been having a torrid time of it since the disruptions started on the Gulf coast

*Source: tradingeconomics.com*




## THE IMPACT

- **Current volatility in oil prices will upset budget FY27 calculations as assumptions made for $20–25 less**
- **If disruptions persist, landed cost of oil will be high even if per barrel price stays under $100**
- **A $10 decline in per barrel oil price shrinks annual import bill pressure by some Rs 55,000 crore. Conversely...**

reduces headline CPI (consumer price index) by about 30–40 basis points, assuming partial pass-through. This could take inflation closer to the 6 per cent upper tolerance band, but perhaps not enough for panic to set in.

However, if disruptions persist beneath the surface, the correction may prove superficial. Freight rates for Gulf routes have already risen by 30–50 per cent in recent weeks. Insurance premiums remain elevated, and delays in cargo settlement continue in some cases. Even with crude below $100, these frictions can keep the effective landed cost of oil (expenses incurred from production to freight and insurance before reaching the importer) high. As a Union minister explained to INDIA TODAY, "The real (economic) pain is felt only after the war is over. The infrastructure of oil and gas is severely damaged in the GCC world as well as in Iran. Oil prices will not go back to pre-war levels anytime soon. The world will have to find a new normal."

But the current volatility in oil prices threatens to upend FY27 budget assumptions. Even at $97, crude remains $20–25 above the $70–75 baseline used by finance minister Nirmala Sitharaman. That gap implies a potential Rs 90,000 crore–1 lakh crore deviation in fiscal and external calculations. The budget's nominal GDP, import, subsidy and fiscal deficit projections were built on an exchange rate of Rs 82.5–83.5 per dollar. With the rupee now at Rs 93–94, the effective import cost rises by roughly 10–12 per cent, adding an estimated Rs 60,000–80,000 crore to the import bill.

## What is being done

There is, however, a nuanced policy cushion emerging in the way economists are reading the situation. As Ashima Goyal, former member of the PM Economic Advisory Council and the monetary policy committee of the RBI, points out, "Both OMCs (oil marketing companies) and the government have space to absorb transient shocks of up to six weeks, since they did not fully pass on the benefits of lower oil prices earlier." In her view, the fiscal framework itself allows flexibility. "The fiscal glide path is consistent with a rise in crisis time. Countercyclical policy is enabled." It also aligns with the government's reliance on state-owned OMCs to absorb part of the shock while shielding retail consumers. In FY26, their gross refining margins were $10-12 a barrel.

That perspective complements the views of former chairman of Punjab & Sind Bank Charan Singh, who expects normalcy to return by September. "The government should pursue accommodative but responsible fiscal policy, as it did during COVID. India was never profligate but always careful and targeted its support where needed." All of this will converge at the RBI's monetary policy committee meeting in the first week of April.

## What more needs to be done

To meet its immediate funding needs without imposing fresh taxes or cesses, the Centre can raise about Rs 1.2–1.5 lakh crore through short-term sovereign debt instruments—money the government borrows from the open market—such as Treasury Bills and government securities. It can also tap temporary advances from the RBI. Medium-term economic stability hinges on monetary policy. CPI stood at 3.2 per cent in February. If crude holds at $90–95 per barrel, inflation could rise to 5.5–5.6 per cent, forcing the RBI to tighten liquidity by raising policy interest rates.

In the long run, resilience will depend on building stronger structural buffers: maintaining at least six months of oil and gas reserves, ensuring the fiscal space to spend more during downturns and rein in during upswings, and strengthening strategic procurement through better timing and diversified sourcing. ■